WHISTLE BLOWER POLICY

1. BACKGROUND:

1.1 As per requirement of Section 177 of the Companies Act, 2013 and Rule 7 of the Companies (Meetings of Board and its Powers) Rules, 2014, every prescribed classes of companies shall establish a Vigil Mechanism for the Directors and employees to report genuine concerns.

1.2 Such Vigil Mechanism shall provide for adequate safeguards against victimization of persons who use such mechanism and make provision for direct access to the Chairman of the Audit Committee in appropriate or exceptional cases.

1.3 Under these circumstances, Deepak Novochem Technologies Limited proposes to establish a Whistle Blower (Vigil) Mechanism and to formulate a Whistle Blower Policy.

2. POLICY OBJECTIVES:

2.1 A Whistle Blower (Vigil) Mechanism provides a channel to the employees to report to the management concerns about unethical behavior, actual or suspected fraud or violation of the Codes of conduct or Policy. The mechanism provides for adequate safeguards against victimization of employees to avail of the mechanism and also provide for direct access to the Chairman of the Audit Committee in exceptional cases.

2.2 This neither releases employees from their duty of confidentiality in the course of their work nor can it be used as a route for raising malicious or unfounded allegations against people in authority and / or colleagues in general.

3. SCOPE OF THE POLICY:

3.1 This policy covers malpractices and events which have taken place / suspected to have taken place, misuse or abuse of authority, fraud or suspected fraud, violation of company rules, manipulations, negligence causing danger to public health and safety, misappropriation of monies, and other matters or activity on account of which the interest of the Company is affected and formally reported by Whistle Blowers concerning its employees.

4. DEFINITIONS:

4.1 **"Alleged Wrongful Conduct"** shall mean violation of law, Infringement of Company's rules, misappropriation of monies, actual or suspected fraud, substantial and specific danger to public health and safety or abuse of authority".

4.2 **"Audit Committee"** means a Committee constituted by the Board of Directors of the Company in accordance with the provisions of Companies Act, 2013 as amended from time to time.

4.3 **"Board"** means the Board of Directors of the Company.

4.4 **"Company"** means Deepak Novochem Technologies Limited and all its offices.

4.5 **"Employee"** means all the present employees and whole time Directors of the Company.

4.6 **"Nodal Officer"** means an officer of the Company nominated by the Chairman or Managing Director (MD) from time to time to receive Protected Disclosures from Whistle Blowers, maintaining records thereof, placing the same before the Chairman or Managing Director/ Audit Committee for its disposal and informing the Whistle Blower the result thereof.

4.7 **"Protected Disclosure"** means a concern raised by an employee of the Company, through a written communication and made in good faith which discloses or demonstrates information about an unethical or improper activity under the title "SCOPE OF THE POLICY" with respect to the Company. However, the Protected Disclosures should be factual and not speculative or in the nature of an interpretation / conclusion and should contain as much specific information as possible to allow for proper assessment of the nature and extent of the concern.

4.8 **"Subject"** means a person or group of persons against or in relation to whom a Protected Disclosure is made or evidence gathered during the course of an investigation.

4.9 **"Whistle Blower"** is an employee or group of employees who make a Protected Disclosure under this Policy and also referred in this policy as complainant.

5. RECEIPT AND DISPOSAL OF PROTECTED DISCLOSURES:

5.1 Protected Disclosures should be reported in writing by the complainant as soon as possible after the Whistle Blower becomes

aware of the same so as to ensure a clear understanding of the issues raised and should be typed or written in a legible handwriting in English or in the regional language where the office and/or plants of the Company are situated.

5.2 The Protected Disclosure should be submitted to the Nodal Officer in a closed and secured envelope and should be super scribed as "Protected disclosure under the Whistle Blower Policy". If the complaint is not super scribed and closed as mentioned above it will not be possible for the Managing Director/ Chairman of Audit Committee to protect the complainant and the protected disclosurewill be dealt with as if a normal disclosure. In order to protect identity of the complainant, the Nodal Officer will not issue any acknowledgement to the complainant and the complainants are advised neither to write the name / address of the complainant onthe envelope nor to enter into any further correspondence with theNodal Officer / the Chairman of Audit Committee. The MD / the Chairman of Audit Committee assure that in case any further clarification is required he / it will get in touch with the complainant.

5.3 Anonymous disclosure shall not be entertained by the Nodal Officer.

5.4 The Protected Disclosure should be forwarded under a covering letter signed by the complainant. The Nodal Officer/ MD / Chairman of Audit Committee shall detach the covering letter bearing the identityof the Whistle Blower and process only the Protected Disclosure.

5.5 All Protected Disclosures should be addressed to the Nodal Officer of the Company.

5.6 Protected Disclosure against the Nodal Officer should be addressed to the Managing Director (MD) of the Company and the Protected

Disclosure against the MD of the Company should be addressed to the Chairman of the Audit Committee.

5.7 On receipt of the protected disclosure the Nodal Officer / MD / Chairman of the Audit Committee, as the case may be, shall make a record of the Protected Disclosure and also ascertain from the complainant whether he was the person who made the protected disclosure or not before referring the matter to the MD / the Chairman of Audit Committee of the Company for further appropriate investigation and needful action.

The record will include:

a) Brief facts;

b) Whether the same Protected Disclosure was raised previously by

anyone, and if so, the outcome thereof;

c) Whether the same Protected Disclosure was raised previously on the same subject;

d) Details of actions taken by Nodal Officer/ MD for processing the complaint.

e) Findings thereon;

f) The recommendations of the MD / Audit Committee or other action(s).

5.8 The MD / Chairman of Audit Committee if deems fit may call for further information or particulars from the complainant.

6. INVESTIGATION:

6.1 All protected disclosures under this Policy will be recorded and thoroughly investigated. The MD / Chairman of Audit Committee may investigate and may at its discretion consider involving any other Officer of the Company for the purpose of investigation.

6.2 The decision to conduct an investigation taken by MD / Chairman of Audit Committee is by itself not an accusation and is to be treated as a neutral fact finding process.

6.3 Subject(s) will normally be informed in writing of the allegations at the outset of a formal investigation and have opportunities for providing their inputs during the investigation.

6.4 Subject(s) shall have a duty to co-operate with the MD / Chairman of Audit Committee or any of the Officers appointed by he / it in this regard to the extent that such cooperation will not compromise self-incrimination protections available under the applicable laws.

6.5 Subject(s) have a responsibility not to interfere with the investigation. Evidence shall not be withheld, destroyed or tampered with and witness shall not be influenced, coached, threatened or intimidated by the subject(s).

6.6 Unless there are compelling reasons not to do so, Subject(s) will be given the opportunity to respond to material findings contained in the investigation report.

6.7 No allegation of wrong doing against a Subject(s) shall be considered as maintainable unless there is good evidence in support of the allegation.

6.8 Subject(s) have a right to be informed of the outcome of the investigations.

6.9 The investigation shall be completed normally within 90 days of the receipt of the Protected Disclosure and is extendable by such period as the MD / Chairman of Audit Committee deems fit and asapplicable.

7. DECISION AND REPORTING:

7.1 The MD shall within 15 days of receipt of investigation report take further action as deemed fit. In case prima facie case exists against the Subject, then the MD shall forward the said report with its recommendation to the concerned disciplinary authority for further appropriate action in this regard or shall close the matter, for which he shall record the reasons. Copy of above decision shall beaddressed to the Nodal Officer, the complainant and the Subject.

7.2 In case the Subject is a Nodal Officer or CEO or Executive Director of the Company, the Protected Disclosure shall be addressed to the Managing Director who, after examining the protected disclosure shall forward the matter to the Chairman of Audit Committee. The Chairman of Audit Committee after providing an opportunity to the Subject to explain his position and after completion of investigation shall submit a report along with his recommendation to the MD. After considering the report and recommendation as aforesaid, MD shall forward the said report with its recommendation to the concerned disciplinary authority for further appropriate action in this regard or shall close the matter, for which it shall record the reasons. Copy of the above decision shall be addressed to the Chairman of Audit Committee, the Nodal Officer the complainant and the Subject.

7.3 In case the Subject is the MD of the Company, the Chairman of the Audit Committee after examining the Protected Disclosure shall forward the Protected Disclosure to other members of the Audit Committee if deemed fit. The Audit Committee shall appropriately and expeditiously investigate the Protected Disclosure.

7.4 A complainant who makes false allegations of unethical & improper practices or about wrongful conduct of the Subject to the Nodal Officer or MD or the Chairman of Audit Committee shall be subjectto appropriate disciplinary action in accordance with the rules, procedures and policies of the Company.

8. SECRECY / CONFIDENTIALITY:

8.1 The complainant, Nodal Officer, MD, Members of Audit committee, the Subject and everybody involved in the process shall:

8.1.1 Maintain confidentiality of all matters under this Policy

8.1.2 Discuss only to the extent or with those persons as required under this Policy for completing the process of investigations.

8.1.3 Not keep the papers unattended anywhere at any time
8.1.4 Keep the electronic mails / files under password.

9. PROTECTION:

9.1 No unfair treatment will be meted out to a Whistle Blower by virtueof his/ her having reported a Protected Disclosure under this Policy.The Company, as a Policy, condemns any kind of discrimination, harassment, victimization or any other unfair employment practice being adopted against Whistle Blowers.

9.2 Complete protection will, therefore, be given to Whistle Blowers against any unfair practice like retaliation, threat or intimidation of termination / suspension of service, disciplinary action, transfer, demotion, refusal of promotion or the like including any direct or indirect use of authority to obstruct the Whistle Blower's right to continue to perform his duties / functions including making further Protected Disclosure. The Company will take steps to minimize difficulties, which the Whistle Blower may experience as a result of making the Protected Disclosure. Thus, if the Whistle Blower is required to give evidence in criminal or disciplinary proceedings, the Company will arrange for the Whistle Blower to receive advice about the procedure etc.

9.3 A Whistle Blower may report any violation of the above clause to the Chairman of the Audit Committee, who shall investigate into the same and recommend suitable action to the management.

9.4 The identity of the Whistle Blower shall be kept confidential to the extent possible and permitted under law. The identity of the complainant will not be revealed unless he himself has made either his details public or disclosed his identity to any other office or authority. In the event of the identity of the complainant being disclosed, the MD or Chairman of Audit Committee, as the case may be, is authorized to initiate appropriate action as per extant regulations against the person or agency making such disclosure. The identity of the Whistle Blower, if known, shall remain confidential to those persons directly involved in applying this Policy, unless the issue requires investigation by law enforcement agencies, in which case members of the organization are subject to subpoena.

9.5 Any other Employee assisting in the said investigation shall also be protected to the same extent as the Whistle Blower.

9.6 Provided however that the complainant before making a complaint has reasonable belief that an issue exists and he has acted in good faith. Any complaint not made in good faith as assessed as such by the MD or the Chairman of Audit Committee shall be viewed seriously and the complainant shall be subject to disciplinary action as per policy of the Company. This Policy does not protect an employee from an adverse action taken independent of his disclosure of

unethical and improper practice etc. unrelated to a disclosure made pursuant to this Policy.

10. ACCESS TO CHAIRMAN OF THE AUDIT COMMITTEE:

10.1 The Whistle Blower shall have right to access Chairman of the Audit Committee directly, in exceptional cases mentioned in this policy and the Chairman of the Audit Committee is authorized to prescribe suitable directions in this regard.

11. COMMUNICATION:

11.1 A Whistle Blower Policy cannot be effective unless it is properly communicated to employees. Employees shall be informed about this policy by publishing in notice board and the web site of the Company.

12. RETENTION OF DOCUMENTS:

12.1 All Protected Disclosures documented along with the results of Investigation relating thereto, shall be retained by the Nodal Officer for a period of 5 (five) years or such other period as specified by any other law for the time being in force, whichever is more.

13. ADMINISTRATION AND REVIEW OF THE POLICY:

13.1 The Managing Director shall be responsible for the administration, interpretation, application and review of this Policy. The Managing Director also shall be empowered to bring about necessary changes to this Policy, if required at any stage with the concurrence of the Audit Committee.